

RESOLUTION NO. IPUC 2023-01

A RESOLUTION OF THE INDUSTRY PUBLIC UTILITIES COMMISSION REVISING THE SCHEDULE OF ELECTRIC RATES FOR ELECTRIC SERVICE PROVIDED BY INDUSTRY PUBLIC UTILITIES, PURSUANT TO THE CITY OF INDUSTRY MUNICIPAL CODE SECTION 7.04.060.D., AND ADOPTING A NOTICE OF EXEMPTION REGARDING SAME

WHEREAS, net energy metering allows customers to generate their own renewable energy such as solar and wind to serve their energy needs directly on site and to receive a financial credit on their electric bills for any surplus energy, thereby allowing customers to reduce their monthly electric bill; and

WHEREAS, Public Utilities Code Section 2827 requires publicly owned electric utilities to offer a standard Net Energy Metering ("NEM") Tariff Schedule to customers that install renewable generation under one megawatt in capacity that does not exceed the customer's annual usage and meets all the applicable safety and performance standards and program requirements ("Eligible Customer-Generators"); and

WHEREAS, Industry Public Utilities ("IPU") will have an initial open enrollment up to a program cap of 387 kilowatts ("kW") for Eligible Customer-Generators that have received an approved NEM and Generating Facility Interconnection Agreement (NEM 1.0); and

WHEREAS, this program cap of 387 kW is set at 5 percent of IPU's maximum coincident peak demand in the prior fiscal year, called the "NEM Capacity Value"; and

WHEREAS, IPU's NEM Capacity Value will be adjusted annually based upon 5 percent of IPU's maximum coincident peak demand during the prior fiscal year; and

WHEREAS, under NEM 1.0, during any billing cycle, if an Eligible Customer-Generator supplies IPU with more energy than the Eligible Customer-Generator consumes, the net energy produced will be carried forward in kilowatt-hours ("kWh") on the electric portion of their bill and will be valued at the rate applicable at the time the energy was generated. At the end of each twelve-month period, the Eligible Customer-Generator can receive net surplus energy compensation for net surplus energy generated during the prior twelve-month period times the Net Surplus Compensation Rate ("NSCR") set forth in NEM 1.0 Rate Schedule; and

WHEREAS, the NSCR will be adjusted September 1 of each year to reflect IPU's prior fiscal year costs and will be posted on IPU's website. The NSCR will include: (i) IPU's annual weighted average cost of energy purchased from the California Independent System Operator ("CAISO"); (ii) IPU's annual weighted average CAISO Wheeling Access Charge; and (iii) value of renewable energy credits based on IPU's

most recently executed renewable power purchase contractual commitment of ten years or more; and

WHEREAS, once the NEM Capacity Value is reached, any new Eligible Customer-Generator will be served using IPU's ERG Rate Schedule and the IPU Interconnection and Eligible Renewable Generation Agreement ("ERG Agreement"); energy delivered from IPU to and consumed by ERG Customer will be measured by the "delivered" register on the electric meter; the monthly kWh delivered, and consumed electricity shall be billed monthly on the otherwise applicable rates; the renewable generation that is generated by ERG Customer and delivered to the electric grid will be measured by the "received" register on the electric meter; each month, the total quantity of renewable generation that is generated by and delivered to the electric grid is multiplied by the applicable ERG Rate Schedule, and that amount credited towards the monthly bill; if the amount credited to exceeds the total amount of the monthly bill, then that excess amount will be carried forward to next month's bill; and

WHEREAS, the ERG Rate Schedule will be adjusted September 1st of each year to reflect IPU's prior fiscal year costs and will be posted on IPU's website; the ERG Rate Schedule will include: (i) IPU's annual weighted average cost of energy purchased from the California Independent System Operator ("CAISO"); (ii) IPU's annual weighted average CAISO Wheeling Access Charge; and (iii) value of renewable energy credits based on IPU's most recently executed renewable power purchase contractual commitment of ten years or more; and

WHEREAS, the NSCR and ERG Rate is \$0.07668 per kWh; and is valid until September 1, 2023 and

WHEREAS, the statutory requirements of Public Utilities Code Section 2827 require that the tariff made available to Eligible Customer-Generators is based on the just and reasonable compensation for the value of net surplus electricity, while leaving other rate payers unaffected; and IPU's NEM 1.0 and ERG Rate Schedules, described above, meet that requirement; and

WHEREAS, to meet the statutory requirements of Public Utilities Code Section 2827, the Schedule of Rates and Electric Service Rules should be revised to include a Net Energy Metering 1.0 Rate Schedule and ERG Rate Schedule, Net Energy Metering Agreement, Eligible Renewable Generation Agreement, and other related documents to be signed by the customer ("Electric Service Rule 21") to assure all the applicable safety and performance standards and program requirements are met; and

WHEREAS, IPU provided the required notification to the public by publishing notice of this hearing on September 28, 2022, and republished on October 5, 2022, in the San Gabriel Tribune, a newspaper of general circulation adjudicated to publish legal advertisements for the City of Industry. Public Hearing was opened for public comments

on October 13, 2022 and continued to January 12, 2023. Public Hearing Notice was again published in the San Gabriel Tribune on December 14, 2022, and republished on December 21, 2022 and the public notice was posted at City Hall and on the IPU Website.

WHEREAS, based upon the Staff Report, testimony, and other evidence submitted at the public hearing held on January 12, 2023, the IPUC hereby finds and determines that: the proposed revised charges and rates set forth in, attached hereto and incorporated herein by reference, reflect the IPU's reasonable and prudent costs associated with operation of IPU and do not establish unfair, unreasonable, discriminatory or excessive rates that exceed the IPU's reasonable costs of providing electricity services to its customers; and

WHEREAS, the IPUC reviewed the adoption of this Resolution pursuant to the requirements of the California Environmental Quality Act of 1970, as amended ("CEQA"), and determined that the adoption of the revised Schedule of Rates has no foreseeable potential to result in a significant impact upon the environment and is exempt from CEQA pursuant to. Further, the IPUC has determined that the approval of the fees and rates is exempt from CEQA under Section 15273(a)(1) of the State CEQA Guidelines as such fees and rates are for the purposes of meeting the operating expenses of the municipal electricity enterprise; and

WHEREAS, all legal prerequisites to the adoption of this Resolution have occurred.

NOW THEREFORE, THE INDUSTRY PUBLIC UTILITIES COMMISSION HEREBY FINDS, DETERMINES, AND RESOLVES AS FOLLOWS:

SECTION 1. The IPUC hereby determines that all the facts set forth in the recitals above are true and correct, and are incorporated herein by reference.

SECTION 2. The IPUC has reviewed the proposed rate revisions pursuant to the requirements of the California Environmental Quality Act ("CEQA"), and determined that the adoption of the revised Schedule of Rates is exempt from CEQA, under the commonsense exemption set forth in Section 15061 of the CEQA Guidelines because the revised Schedule of Rates has no foreseeable potential to result in a significant impact upon the environment. Further, the adoption of the Schedule of Rates is exempt from CEQA pursuant to Section 15273 of the CEQA Guidelines because such fees and rates are for the purposes of meeting the operating expenses of the municipal electricity enterprise. Based on the foregoing, the City Council hereby adopts the Notice of Exemption, and directs Staff to file same as required by law.

SECTION 3. The Schedule of Rates for electricity service, as set forth in the Schedule of Rates set forth in Attachment A to Resolution No. 2022-16 is hereby rescinded in its entirety as of February 1, 2023. The Schedule of Rates set forth in

Attachment A to this Resolution is hereby adopted, and shall take effect on February 1, 2023.

SECTION 5. The Secretary shall certify to the adoption of this Resolution and the same shall be in full force and effect.

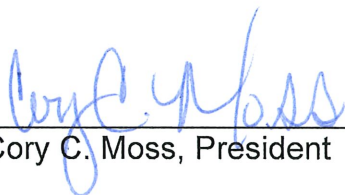
PASSED, APPROVED AND ADOPTED by the Industry Public Utilities Commission at a regular meeting held on January 12, 2023, by the following vote:

AYES: COMMISSIONER: Greubel, Marcucci, Radecki, Ruggles, P/Moss

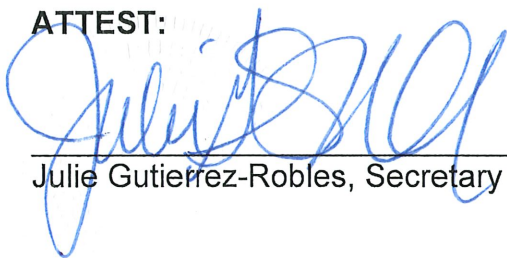
NOES: COMMISSIONER: None

ABSENT: COMMISSIONER: None

ABSTAIN: COMMISSIONER: None


Cory C. Moss, President

ATTEST:


Julie Gutierrez-Robles, Secretary

Schedule D
Domestic Service

A. Applicability.

Applicable to domestic service including lighting, heating, cooking, and power or combination thereof in a Single-Family Residence or an individually metered Single-Family Dwelling in a Multi-Family Residence.

B. Rates.

Customer Charge - \$/Meter/Day	
Single-Family Residence	\$0.033
Multi-Family Residence	\$0.025
Energy Charge - \$/kWh/Meter/Month	\$ 0.10882
Public Purpose Programs - \$/kWh/Meter/Month	\$ 0.00328

C. Customer Charge: For purposes of applying the Customer Charge, the following definitions shall be used:

- Single-Family Residence: A building of single occupancy which does not share common walls, floors, or ceilings with other residential dwellings units.
- Multi-Family Residence - Apartments, mobile homes, condominiums, townhouses, or a building of multiple occupancy which shares common walls and/or floors and ceilings with other residential units.

D. Billing Calculation.

A Customer's bill is calculated according to the rates and conditions above. The charges are calculated by applying the Rate Charges when applicable to the actual billing determinants (kilowatt hours [kWh], etc.).